

**BAKER
HUGHES**

Rpt Date 28/Aug/2006			Well Name/No Bilabri D 2			Section Name/No 12.25" pilot section #4			Mud System SYN-TEQ (PARA)										
Job# 1		Spud Date 05/Jul/2006			MD 2595.00 m			Progress 595.00 m			Present Activity Miscellaneous								
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon/Peter Vermeulen			Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough /Terry Nanidis.										
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria				Area Offshore		Country/State Nigeria			Rig BULFORD DOLPHIN								
Drilling Assembly						Casing			Volumes		Pump Information								
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min		
0							19 1/2	178.00	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0			
Drill Collars			Drill Pipe			13 3/8	12.415	1622.00	1348.7	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0			
OD in	ID in	Length m	OD in	ID in	Length m		12 1/4	2595.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0			
			5	4.276	1947.00				408										
									Tot Active										
									1756.7	Circulation Times									
									In Storage	Surface to Bit		min/stks		Total System		min/stks			
									738	Bottoms Up		min/stks							
Mud Properties						Max Ann Velocity			Hole Information										
Property		Fluid Spec		1	2	3	AV Riser		ft/min	Standpipe Pressure		psi	Water Depth				152.00 m		
Sample From				Reserve	Active Pit	Active Pit	AV Casing		ft/min	Hole Flow		USgal/min		Riser Booster Rate				USgal/min	
Check Time				05:15	05:00	23:10	AV Open Hole		ft/min	Solids Analysis									
MD m				2200.00	2200.00	2595.00	Vc Open Hole		ft/min	Property		1	2	3	4				
TVD m				2200.00	2200.00	2239.00	Vc Drill Pipe		ft/min	LGS %		6.73	9.21	8.46					
Bit Depth m				2200.00	2200.00	1947.00	Min Ann Velocity			LGS lb/bbl		61.35	83.95	77.13					
Density ppg		10.00-10.50		10.20	10.30	10.40	AV Riser		ft/min	HGS %		7.13	6.15	6.90					
Funnel Visc. sec/quart				75.0	73.0	75.0	AV Casing		ft/min	HGS lb/bbl		104.94	90.52	101.54					
Test Temp degF				100.0	110.0	100.0	AV Open Hole		ft/min	Avg Dens Sol sg		3.4229	3.2405	3.3185					
Rheol Temp degF				120.0	120.0	120.0	Bit Information												
PV cP				28	26	30	Size												
YP lbf/100ft^2				34	33	29	Hours On Bit												
10sec Gel lbf/100ft^2				13	10	10	Bit Number												
10min Gel lbf/100ft^2				23	20	19	BHA Number			Rheology									
HTHP Filtrate cc				3.2	3.5	3.6	Depth In			600 RPM		90	85	89					
HTHP Cake in/32				2.0	2.0	2.0	Bit RPM			300 RPM		62	59	59					
HTHP Temp degF				250.0	250.0	250.0	WOB			200 RPM		48	46	40					
HTHP Pressure psi				500	500	500	Nozzles			100 RPM		33	30	30					
Retort Water %				19.0	19.0	19.0	Bit Hydraulics			6 RPM		13	1						

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
				Rig BULFORD DOLPHIN			

Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	7.0	3 x 175	0.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	7.0	3 x 175	0.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	7.0	3 x 175	0.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
				Total Volume Lost	0	0	

Additions bbl				Losses bbl			Total Volumes bbl			
Mud Added	304	Weight Materials		Downhole	Left In Pit		Starting Volume	2006.1	Riser w/o Pipe	215.7
Brine		Water		Cased Off	Trip Losses		Daily Additions	488.6	Casing w/o Pipe	709.3
Base Fluid		Product	2.6	Left In Hole	Injected		Daily Losses		Open Hole w/o Pipe	465.4
Recycled		Other	182	Discharged	Spill To Environment		Ending Volume	2494.7	String Displacement	41.7
				SCE	Onshore Disposal		Net Change	488.6	String Capacity	113.5
				Evaporation	Returned				Total Hole w/ Pipe	1348.7
				Other Losses					Total Active	1756.7
									Total Reserve	738.0

Circulate	2	Tripping	18	Reaming	4		
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Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	18730.12	Daily Product Cost	0.00	Primary Product	1234012.18
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	51750.00
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	19630.12	Total Daily Cost	0.00	Primary Total	1285762.18
Total Inventory Value	575458.97	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	414.43 UK ton

Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl
Bulk														
BARITE - Imported	1000 kg	255					31	224	540.00		16740.00		0.07	0.10
Oil Based Product														
CARBO-GEL	25 kg	200						200	264.28				4.55	6.69
MIL-LIME	25 kg	120		160				280	34.25				5.79	4.39
OMNI-COTE	55 USgal	8						8	2150.00					
OMNI-MUL	55 USgal	16					2	14	995.06		1990.12		3.41	2.17
OMNI-PLEX	55 USgal	17						17	1618.95				2.50	3.01
OMNI-TEC	55 USgal	20						20	923.00				0.51	0.33
PARA-TEQ	1 bbl	408		500				908	280.00					
SA 58	50 lb								97.10					
Water Based Product														
CALCIUM CHLORIDE (97%)	50 lb	200		120				320	21.00				6.19	4.60
CAUSTIC SODA	25 kg	17						17	37.89				0.03	0.04
POTASSIUM CHLORIDE BRINE	1 bbl	189						189	46.85				44.88	58.80
XANTHANGUM D	25 kg	38						38	345.22				0.23	0.30
LCM														
CALCIUM CARBONATE - FINE	25 kg	200						200	21.68				0.01	0.01
CALCIUM CARBONATE - MED	25 kg	220						220	21.68				0.03	0.04
KWIKSEAL - MEDIUM	50 lb	39						39	70.52				0.03	0.03
MIL-PLUG FINE	50 lb	84						84	27.01					
MIL-SEAL MEDIUM	50 lb	90						90	36.00					
SOLUFLAKE F	50 lb	158						158	57.24					
SOLUFLAKE M	50 lb	80						80	57.24					
Other														
SAW DUST	25 kg	30						30	12.50					

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